

Productivity & Cost Per Minute Guide

What counts · How it's calculated · CPM explained · How to improve · 2026

What Is Productivity?

PRODUCTIVITY FORMULA

Productivity % = (Billable Treatment Time ÷ Paid On-Site Time) × 100

Example: 6 hrs billable treatment ÷ 7.5 hrs paid on-site = 80% productivity

✓ Counts as Billable (Numerator)	✗ Does NOT Count as Billable
• Direct patient treatment time (all timed CPT codes)	• Scheduling and administrative tasks
• Evaluation and re-evaluation time	• Staff meetings, in-services, training
• Group and concurrent therapy treatment time	• Lunch, breaks, personal time
• Care conference time directly related to active patient	• Travel between buildings
• Documentation completed in the same session (some payers)	• Documentation time beyond direct session (in most cases)
	• Equipment setup without patient present
	• Waiting for patient to be ready

What Is Cost Per Minute (CPM)?

The single most important financial metric for a therapy department

CPM FORMULA

CPM = Total Therapist Labor Cost ÷ Total Treatment Minutes Billed

Example: \$3,200 weekly labor cost ÷ 2,200 treatment minutes = \$1.45 CPM

CPM tells you how much it costs to produce one minute of billed therapy. It captures BOTH the cost of labor AND the efficiency of treatment delivery. A therapist who earns more but bills more minutes can have a lower CPM than a cheaper therapist who bills fewer minutes. **Target: \$1.45 or below.**

CPM Examples — What Moves It Up or Down

Scenario	Rate	Weekly Cost	Billable Mins	CPM	Result
Staff PT (\$66/hr), 90% productivity	\$66/hr	\$2,640	2,160	\$1.22	✓ At goal
Staff PT (\$66/hr), 84% productivity	\$66/hr	\$2,640	2,016	\$1.31	✓ At goal
Staff PT (\$66/hr), 75% productivity	\$66/hr	\$2,640	1,800	\$1.47	✗ Over target
Traveler PT (\$95/hr), 90% productivity	\$95/hr	\$3,800	2,160	\$1.76	✗ Over target
Traveler PT (\$95/hr), 84% productivity	\$95/hr	\$3,800	2,016	\$1.88	✗ Over target
Traveler PT (\$95/hr), 75% productivity	\$95/hr	\$3,800	1,800	\$2.11	✗ Critical
Two part-time staff (\$66/hr), low census	\$66/hr	\$2,640	1,200	\$2.20	✗ Critical — overstaffed

What Drives CPM Up — And How to Fix It

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Travelers & contract staff	Contract rates are 2–3x employee rates. Every traveler day raises CPM significantly. Replace with perm staff as quickly as possible.
Low productivity / billable time	If therapists are on-site but not treating, you're paying for hours that produce nothing. Tighten scheduling, reduce wait time.
Overtime	OT dramatically increases labor cost per hour. Better scheduling and census management prevents unplanned OT.
Overstaffing for census	Maintaining full staff during low census weeks increases CPM rapidly. Flex hours or PTO during dips prevents this.
Low UPV (units per visit)	Fewer units per visit = fewer treatment minutes billed per labor hour. Appropriate treatment time and code utilization improves CPM.
Excessive non-billable time	Long documentations, excessive meetings, or admin tasks during patient hours reduce billable output.

The relationship between Productivity and CPM: High productivity alone does not guarantee a good CPM. A traveler at 90% productivity can still have a CPM of \$1.70 because their hourly rate is too high. You need BOTH controlled labor costs AND high productivity to achieve a strong CPM. Watch both metrics weekly — they tell different parts of the same story.